

PALM HILLS DEVELOPMENTS

Egyptian Exchange · PHDC · Egyptian pounds · edition of 17 September 2026

READ FIRST

PRICE DATE 3 September 2026 — the latest known close, the price this valuation is measured against. ISSUE DATE 17 September 2026 — the day this edition was issued. A recalibration issues a new document carrying its own issue date; the two dates are stated separately because they are not the same fact.

This is a valuation study, not advice. It carries no rating, no recommendation and no price target. What it publishes is a range of value and the reasoning behind it, so that a reader can disagree with the reasoning rather than with a number.

It supersedes the edition of 10 September 2026. That edition's numbers stand: the discount-rate path, the forecast, the fifteen-year window and the cash-conversion cases are as they were issued. What changed is the quality of six inputs and the accuracy of four descriptions, each found by working an external forensic audit of this study finding by finding and by auditing the study against its own filings again.

The changes, in the order they matter. FIRST, the first-quarter 2026 anchors now read the release's own income statement in thousands rather than its headline bullets in rounded billions: revenue of EGP 9,346.1 million rather than 9,300, gross profit of EGP 3,310.0 million rather than 3,300, and the prior-year quarter read outright at EGP 8,392.6 million rather than inferred from a rounded "up 11 per cent". The full-year 2026 revenue anchor is built from that quarter, so the rounding compounded through all fifteen forecast years. SECOND, the minority's share of value is now the MEAN of its filed profit share over 2023 to 2025 rather than the 2025 share alone: a one-observation anchor is the construction this study refuses everywhere else, and the single year was also the branch that maximised the answer. THIRD, the price this study compares itself against is the close its own price history actually holds, dated to that close, and it is the same price in every section. The superseded edition compared the valuation against one close and computed its trend read and its distribution from another.

FOURTH, and this one is about the workbook rather than the answer: the bridge from enterprise value to equity now READS the discounted cash-flow sheet instead of carrying rounded copies of its totals, and the terminal value is published as its own construction — the terminal flow, the growth rate, the rate it is capitalised at and the formula that combines them, each in a cell. A third of the answer sat in a single hardcoded number in every earlier edition of this workbook, and a reader could not see where it came from. FIFTH, four sentences that described the model wrongly are corrected: a catalyst that said the half-year results were still to come, an appendix caption that called a fifteen-year forecast five years, and two passages that reasoned off the credit-rating cost of equity when this study adopts and discounts on the traded default-swap basis. SIXTH, a negative result in the bibliography is withdrawn: it said the disclosed regional unit series cannot be summed to the company total because the charts overlap by about a third, and on this study's own extract they sum exactly in nineteen of twenty-one year-and-vintage pairs.

The central figure moves from EGP 17.86 to EGP 20.88 a share. Almost all of that is the minority basis and the sharper first-quarter anchors; neither was chosen for its direction, and the direction is the uncomfortable one — it moves the answer further above the traded price, not toward it. The house rule that a fair value is never adjusted toward a quotation cuts both ways, and a correction is made or not made on whether it is right.

Two things in the edition of 11 June 2026 were wrong and remain corrected, and both are set out plainly in section 1.8 rather than buried: its discount rate was below Egypt's own government bond yield, and the project-level price and cost table it valued the company on is not disclosed by the company anywhere.

The company's own audited statements are the only source used for its reported history. Where something needed is not disclosed, this study says so and does not fill the hole. There are six such gaps and they are listed in section 7.

Information set: the company's own published statements as at 2 September 2026, which end at its first-quarter 2026 results — the reviewed statements of 31 March 2026 included. A half-year 2026 release of 18 August 2026 is reported in the trade press, and this study has NOT obtained the filing itself; nothing from it is used, because a report of a disclosure is a lead and not a source. What it is said to contain — an order book of EGP 284bn at 30 June and a further EGP 75bn sold at Hacienda Ras El Hekma shortly after — is carried in section 7 as an open gap, not in the model.

Headline

Palm Hills is worth EGP 20.88 a share on a base case built from the company's own units and prices. Across the full observed range of cash conversion ALONE — the one driver that decides it — the value spans EGP 7.58 to EGP 46.39. The wider pair published beside it, EGP 4.94 to EGP 54.52, moves a second driver as well: the weak case also carries the whole cost-of-capital schedule 2 points HIGHER and the strong case 1 point lower, which widens the band at both ends. Both pairs are printed because they answer different questions, and neither is a probability. The shares trade at EGP 14.40.

- The forecast is built from units and prices the company itself discloses: 5,633 units sold across three regions at EGP 15.70 to 25.09 million a unit, and separately 2,042 units delivered at EGP 19.73 million of revenue each, because units handed over were contracted years earlier at lower prices.
- The company's cost of capital, built from the ground up, is 24.96% against an Egyptian ten-year government bond yield of 23.00%. It CHANGED in this edition: the real interest rate underneath it now comes from the house Egyptian path rather than from a figure typed into this study's own file, and the rate fell from the 24.96% published on 10 September 2026 to 24.96%. The alternative credit-rating basis, which this study does not adopt, stands at 25.83%; both are published in section 1.8. The change RAISES the value, and it was made for consistency across the book rather than for its direction.
- Value turns on how quickly contracted sales become cash. Over the three years the company has published a cash-flow statement, operating cash was 4.3%, 17.9% and 3.9% of revenue. At the low end the shares are worth EGP 7.58; at the high end, EGP 46.39.
- At the closing price of EGP 14.40 the market is paying for a conversion rate of 6.4% — above the two weak years, well below the strong one.
- The contracted order book stands at EGP 263bn against 2025 revenue of EGP 36.2bn. What limits this company is how fast it can build and hand over, not whether it can sell.

Valuation summary — every read at a glance

Lens	Low	Central	High	Role
Discounted cash flow	4.94	20.88	54.52	the central
Earnings multiple on own history	5.58	8.38	13.03	cross-check
Book value of equity — a disclosed floor	5.97	6.63	8.62	cross-check
Market price, 3 September 2026		14.40		
vs the central		-31%		

EGP per share. The cash-flow lens is the central because it is the only one built from the company's own units and prices; the others are cross-checks, published so that a reader can see where they disagree. They are NOT averaged into the central. An earlier edition blended all four at fixed weights, and because three of the four value a developer on its reported earnings and its historical-cost book — a floor for a company whose worth sits in an undelivered order book — the blend read as a value when it was measuring a floor.

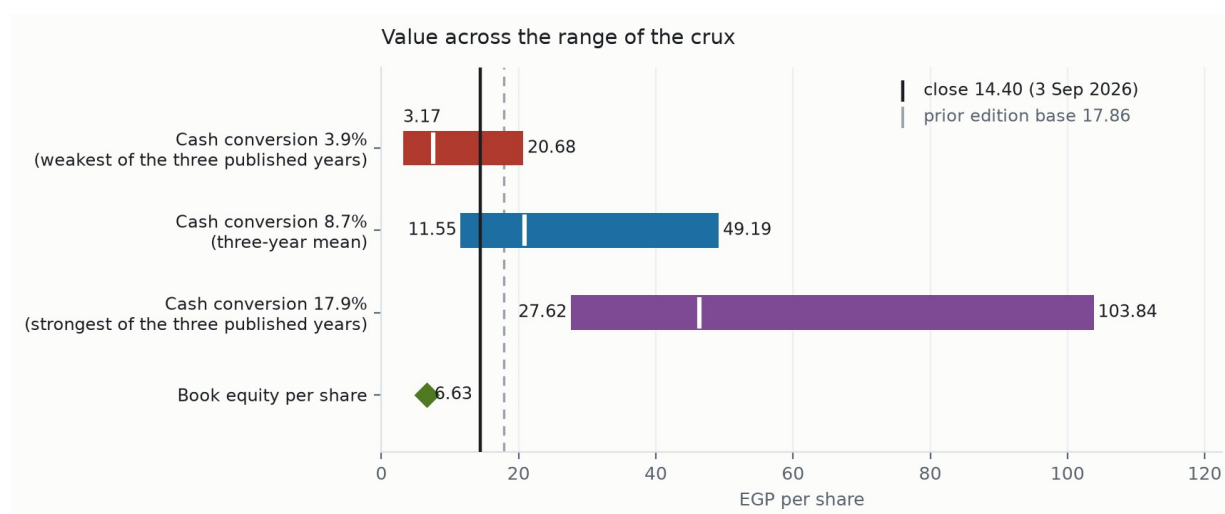


Figure 1 — each bar is one observed rate of cash conversion; the bar spans the discount rate from four points below the rebuilt cost of capital to four points above, and the white tick marks the value at the rebuilt rate itself. Shown against the closing price and the 30 August 2026 edition's central figure.

Company overview

Palm Hills Developments builds and sells residential and commercial property in Egypt, principally in West Cairo, East Cairo, and the North Coast and Alexandria. It has been listed on the Egyptian Exchange since 2008. Units are sold off plan and paid for in instalments over several years, so the company collects cash long before, and long after, it recognises the sale.

Two things follow from that model and they shape everything in this study. First, revenue is recognised as construction completes rather than when a contract is signed, so the order book and the income statement move on different clocks. Second, the balance sheet carries a very large receivable book — EGP 103.5bn at the end of 2025 — against customer advances of EGP 69.4bn.

	2025	2024
Revenue (EGP mn)	36,169	27,167

	2025	2024
Gross profit (EGP mn)	14,888	9,330
Gross margin	41.2%	34.3%
Profit after tax and minority (EGP mn)	4,217	3,255
Cash from operations (EGP mn)	1,424	4,855
Order book (EGP mn)	263,000 (at 31 Mar 2026)	147,000
Total assets (EGP mn)	172,130	123,437
Shareholders' funds (EGP mn)	18,766	14,625

Source: the company's audited consolidated financial statements and its own results releases.

1 Fundamental valuation

1.1 The cash-flow model

The model runs 15 years from the audited 2025 base and then a terminal value. Revenue is limited by how much the company can build and hand over, not by how much it has sold: the order book is EGP 263bn against 2025 revenue of EGP 36.2bn, so sales are not the binding constraint and have not been for some years. Revenue is therefore units handed over times the revenue each one carries — 2,042 units in 2026, growing 15 per cent a year on the company's own disclosed run of handovers, at EGP 19.73 million a unit escalating with inflation. Nothing here is a ratio applied to last year's revenue.

Cost is recognised on the same completion schedule as revenue. That sounds obvious and it is the single most important correction in this edition. Since January 2016 the company has recognised revenue on standalone units as construction progresses; a model that accrues revenue that way but accrues cost on handover has the two legs on different clocks, and it systematically overstates profit.

Gross margin is an INPUT here, and it is the one place in this forecast where a margin is held rather than derived. The reason is the disclosure: the company last published a delivered-unit count for FY2024, so every later count in this model is implied from revenue divided by price per unit — and cost per unit is then price per unit times one minus the margin however it is written. There is no independent cost per unit to build. What is actually decided here is WHICH disclosed margin anchors it, and section A.1 says which and why.

EGP mn unless stated	2026	2027	2028	2029	2030	2035	2040
Units sold	5,633	5,633	5,633	5,633	5,633	5,633	5,633
New sales (EGP mn)	129,712	145,277	158,352	170,229	182,145	255,468	358,306
Units delivered	2,042	2,348	2,665	2,985	3,298	4,409	4,475
Revenue per delivered unit (EGP mn)	19.73	22.10	24.08	25.89	27.70	38.85	54.49

EGP mn unless stated	2026	2027	2028	2029	2030	2035	2040
Revenue	40,279	51,879	64,182	77,276	91,367	171,318	243,886
Cost per delivered unit (EGP mn)	12.74	14.27	15.55	16.72	17.89	25.09	35.20
Cost of revenue	26,014	33,506	41,452	49,908	59,009	110,645	157,513
Gross profit	14,265	18,373	22,730	27,368	32,358	60,673	86,373
Gross margin (held input)	35.4%	35.4%	35.4%	35.4%	35.4%	35.4%	35.4%
Overheads	7,089	9,130	11,296	13,600	16,080	30,151	42,923
Depreciation and amortisation	394	507	628	756	893	1,675	2,385
Operating profit	6,782	8,735	10,807	13,012	15,384	28,847	41,066
Finance cost	3,348	3,348	3,348	3,348	3,348	3,348	3,348
Profit before tax	3,435	5,388	7,460	9,664	12,037	25,499	37,718
Tax rate	22.5%	22.5%	22.5%	22.5%	22.5%	22.5%	22.5%
Net profit	2,662	4,176	5,781	7,490	9,329	19,762	29,232
Earnings per share (EGP)	0.93	1.46	2.02	2.62	3.26	6.91	10.22
Order book, closing	352,433	445,831	540,001	632,954	723,732	1,149,604	1,651,591

Every line follows from the two engines above. Gross margin is the one HELD input in this table and cost per unit is solved from it — see the note on the anchors below.

Three anchors hold this table to what was actually reported. FY2026 is part-reported: the company disclosed first-quarter revenue of EGP 9,346 million, up 11 per cent on the same quarter of 2025, which places that quarter at 23.2 per cent of the full year and gives an FY2026 revenue anchor of EGP 40,279 million from the actual rather than from a trend. The finance charge is the disclosed rate on the interest-bearing borrowings, 13.91 per cent, not the 25.50 per cent marginal rate used for discounting — a large part of the balance does not bear interest and part of the charge is capitalised into work in progress. And the gross margin is held at 35.4 per cent, which is the LATEST disclosure on its own — the first quarter of 2026 — and not an average. FY2025 reported 41.2 per cent; their average is 38.3 per cent, and that average was the anchor the superseded edition used. Taking the latest alone is the more conservative of the two and it carries the cost drift the company's own two disclosures show, 9.76 per cent.

One drift was measured and deliberately not carried. The move from a 41.2 per cent gross margin in 2025 to 35.5 per cent in the first quarter of 2026 implies cost rising about 9.8 per cent a year faster than price. Compounded over five years that takes gross margin to 7.5 per cent and the company to a loss by 2030 — on the strength of one quarter against one year, for a developer whose margin moves with which project happens to hand over. It is sensitised in section 1.9 instead of extrapolated.

Revenue, years three to five (EGP mn)	Low	Point	High
2028	28,970	64,182	121,619
2029	37,309	77,276	163,875
2030	59,641	91,367	152,695

The band is this method's OWN measured error at each horizon, taken from testing it across ten annual starting points on the company's 2011-2025 history. It is not a scenario; it is the spread the method has actually produced.

The cash-flow calculation in full

Operating profit is not cash, and for a developer selling on instalments the gap between the two is the whole question. The table below runs every step from operating profit to a present value, year by year, with nothing collapsed.

EGP million	2026	2027	2028	2029	2030	2035	2040
Operating profit	6,782	8,735	10,807	13,012	15,384	28,847	41,066
Cash from operations	3,510	4,521	5,593	6,734	7,961	14,928	21,251
as a share of revenue	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
plus finance cost, after tax	2,594	2,594	2,594	2,594	2,594	2,594	2,594
less capital expenditure	403	519	642	773	914	1,713	2,439
Free cash flow to the firm	5,701	6,596	7,545	8,555	9,642	15,809	21,407
Cost of capital, that year	25.0%	21.4%	18.5%	16.4%	15.0%	15.0%	15.0%
Discount factor	0.800	0.659	0.556	0.478	0.416	0.207	0.103
Present value	4,562	4,348	4,196	4,087	4,006	3,269	2,204

The finance charge is added back after tax because the discount rate already carries the cost of debt; leaving it in the cash flow would charge for the same thing twice. Capital expenditure is maintenance only, at one per cent of revenue: for this company the building itself is inventory, and it is already inside operating cash.

Bridge from enterprise value to equity, base case	EGP mn
Present value of the explicit 15 years	52,309.7
Present value beyond year 15	29,567.0
Enterprise value	81,876.6
less net debt, 31 March 2026	-23,244.7
plus investments in associates	3,838.7
plus investment property	1,020.5
Equity value before minority interests	63,491.1
less minority interests at their share of value	-3,769.3
Equity value attributable to shareholders	59,721.8
Shares outstanding, millions	2,859.9

Bridge from enterprise value to equity, base case	EGP mn
Value per share, EGP	20.88

The terminal value is 36 per cent of enterprise value, which is high and is one reason the range is published rather than a point.

What the two statements disagree about, and why it is not resolved here

The audited balance sheet and the audited cash-flow statement tell different stories about the same year, and the difference is the largest single uncertainty in this valuation. Working capital on the balance sheet rose EGP 20,085 million in 2025. Net profit plus depreciation less the operating cash the company reported implies it rose EGP 3,146 million. The difference is EGP 16,938 million — 46.8 per cent of the year's revenue.

A difference that size is not depreciation and it is not capitalised interest. It is consolidation, land taken on deferred terms, and reclassification inside a book where revenue is recognised as construction progresses. The 2025 cash-flow statement is published in its three totals only, so the difference cannot be split from what the company has disclosed. It is therefore not split. It is measured, recorded in the register of what is missing, and the forecast is published two ways around it rather than one — set out in full in Appendix A.3.

The collection cycle, as reported	2025	2024
Collection period, days	1045	1035
Work in progress, days of cost	304	270
Suppliers, days of cost	66	70
Customer advances, share of the order book	26.4%	32.2%
Net working capital (EGP mn)	62,324	42,239
as a multiple of revenue	1.72	1.55

Both years measured the same way on the two audited sheets. The collection period is close to three years because units are sold on multi-year instalments; customer advances against the order book are what funds the building in the meantime.

1.2 Book value and sustainable return

Shareholders' funds attributable to the parent were EGP 18,956 million at 31 March 2026, or EGP 6.63 a share, against a market price of EGP 14.40 — the shares change hands at about 2.2 times book. The earlier edition divided total equity, minority interests included, by the parent's shares; this one puts the numerator on the same footing as the share count, and on the latest disclosed sheet. Profit after tax and minority interest of EGP 4,217 million in 2025 on average shareholders' funds gives a return on equity of roughly 25.3%. Against a cost of equity of 29.2% — the traded default-swap basis this study adopts and discounts on, not the credit-rating basis of 30.8% that section 1.8 publishes beside it — the company is not currently earning its cost of capital on book, which is why book value sits well below every cash-flow read in this study rather than acting as a floor.

1.3 Relative multiples

The Egyptian listed developers are compared in Appendix B on the measures that can actually be sourced for all of them on the same basis. Earnings and book multiples for the peer group are NOT published here: no peer discloses figures this study can obtain on a consistent basis,

and a multiple assembled from inconsistent or unsourced inputs would look precise and mean nothing. What is comparable is market risk, and on that measure Palm Hills sits in the middle of its sector.

1.4 Normalised earnings power

Normalising on the three disclosed years, revenue converts to gross profit at about 38.3%, overheads absorb about 17.6% of revenue, and interest on the disclosed borrowings absorbs a further large share. The result is a company whose accounting profit is real but whose cash profit is small and volatile: EGP 1,424 million of operating cash in 2025 on EGP 36,169 million of revenue, against EGP 4,855 million on EGP 27,167 million the year before.

Normalised earnings of EGP 4,622 million — the average of the last two years' revenue carried one year forward at inflation, at the 2025 net margin of 11.7% — would capitalise at the ADOPTED cost of equity of 30.77% less growth to about EGP 6.80 a share, and at the cost of equity alone, as an earlier edition did, to EGP 5.25. Neither figure is published as a lens here, and the reason is not the arithmetic. This company recognises revenue when a project completes, so its reported earnings in any year are an accident of which project happened to complete: capitalising a mid-cycle figure treats that schedule as though it were a steady state. The working is kept as a diagnostic in the workbook and it claims nothing.

1.5 Synthesis — the lenses in one field

The lenses disagree, and the disagreement is the information — but one of them is the answer and the others are checks on it. The cash-flow lens is the central: it is the only one built from the company's own units and prices, and it is the only one that values an order book the company has sold but not yet handed over. The multiple on its own trading history sits at EGP 8.38 and book value at EGP 6.63, and both are lower for the same reason: they measure what has been reported, and what has been reported does not yet include a backlog carried at historical cost in a currency that has lost most of its value since 2022. That is a floor, and it is published as one.

Lens	Low	Central	High	Role	What moves it
Discounted cash flow	4.94	20.88	54.52	the central	cash conversion, then the cost of capital
Earnings multiple on own history	5.58	8.38	13.03	cross-check	the multiple the shares have historically carried, 6x to 14x
Book value of equity — a disclosed floor	5.97	6.63	8.62	cross-check	nothing — it is a reported figure

EGP per share, against a close of EGP 14.40. The cash-flow lens is the central and the others are cross-checks; they are not averaged. Normalised earnings power, which an earlier edition carried at a fifth of the weight, is not published as a lens here at all: a developer that recognises revenue when a project completes reports earnings that are an accident of which project completed in which year, and capitalising a mid-cycle figure treats that schedule as a steady state. The working is kept in the workbook as a diagnostic and claims nothing.

1.6 Drivers — units and prices, by region

This is what the forecast is built from. For each operating region the company publishes both the value of new sales and the number of units behind it, so the average selling price per unit

is a realised figure, not an assumption. Dividing one disclosure by the other is the only step taken.

North Coast & Alexandria

Disclosed	2020	2021	2022	2023	2024
New sales (EGP mn)	4,205	7,139	5,627	13,900	95,082
Units sold	726	1,552	800	1,231	4,192
Price per unit (EGP mn)	5.79	4.60	7.03	11.29	22.68

Carried forward at 2,074 units, the average of the last three disclosed years, at a starting price of EGP 22.68 million a unit, the price realised in 2024, escalated with Egyptian inflation.

West Cairo & Badya

Disclosed	2020	2021	2022	2023	2024
New sales (EGP mn)	6,627	7,258	13,118	32,332	44,570
Units sold	858	1,416	2,039	2,950	2,839
Price per unit (EGP mn)	7.72	5.13	6.43	10.96	15.70

Carried forward at 2,609 units, the average of the last three disclosed years, at a starting price of EGP 15.70 million a unit, the price realised in 2024, escalated with Egyptian inflation.

East Cairo

Disclosed	2020	2021	2022	2023	2024
New sales (EGP mn)	1,947	2,892	7,265	13,270	11,364
Units sold	256	382	1,194	1,200	453
Price per unit (EGP mn)	7.61	7.57	6.08	11.06	25.09

Carried forward at 949 units, the average of the last three disclosed years, at a starting price of EGP 25.09 million a unit, the price realised in 2024, escalated with Egyptian inflation.

The three regions reconcile to the group total the same release prints: for 2024, 44,570 plus 95,082 plus 11,364 is 151,016, which is the all-regions figure exactly. That reconciliation is checked in code, so a mis-read series fails loudly rather than quietly becoming a price.

Revenue is driven by a different quantity from new sales, and the distinction matters. A unit handed over in 2026 was contracted years earlier at that year's price, so revenue per delivered unit sits below the current selling price — EGP 19.73 million against regional prices of EGP 15.70 to 25.09 million. That gap is why the order book keeps building even as deliveries rise, and it is the single clearest fact about how this business converts sales into reported revenue.

What is NOT disclosed, and therefore not used: unit mix, average unit size, price per square metre and construction cost per square metre, for any project. The edition of 11 June 2026 carried a full table of those figures across fifteen named projects. None of it is published by

the company. It is not reused here, and the forecast is built at the finest level the disclosure actually supports.

1.7 The crux

How fast do contracted sales become cash?

Everything else in this study is secondary to that question. Palm Hills sells off plan on long instalment terms, so a sale signed today produces cash over several years on a schedule the company does not publish — no down-payment percentage, no instalment tenor, no post-handover tail. The edition of 11 June 2026 assumed all three. This edition measures the outcome instead, from the three years in which the company has published a cash-flow statement.

Year	Cash from operations (EGP mn)	Revenue (EGP mn)	Cash as a share of revenue
2023	757	17,462	4.3%
2024	4,855	27,167	17.9%
2025	1,424	36,169	3.9%

The 2024 figure is the one in the audited statements. The company's own results release for that year reported EGP 3,132 million and the figure was later restated; the audited number is used.

A spread of 3.9% to 17.9% over three consecutive years is not noise around a stable rate — it is the absence of a stable rate. Until the company discloses its collection terms, or until more years accumulate, this is the honest width of the answer.

1.8 Macro, country risk and the cost of capital

The edition of 11 June 2026 discounted at 18%. Egypt's ten-year government bond yields 23.00%. A discount rate below the sovereign yield prices this company as safer than the government that taxes it, which cannot be right, and it is not a real-versus-nominal mismatch: that edition escalated selling prices at 14 per cent a year, so its cash flows were in nominal pounds throughout.

Cost of capital	On the credit-rating basis	On the credit-default-swap basis
Egyptian ten-year government bond yield	23.00%	23.00%
less Egypt's own sovereign default spread	6.37%	3.41%
Normalised risk-free rate	16.63%	19.59%
Equity risk premium for Egypt	13.94%	9.41%
Beta	1.0481	1.0481
Cost of equity	30.77%	29.20%
Cost of debt before tax	25.50%	25.50%
Cost of debt after tax at 22.5%	19.76%	19.76%
Equity weight at market value	55.1%	55.1%

Cost of capital	On the credit-rating basis	On the credit-default-swap basis
Debt weight	44.9%	44.9%
Weighted average cost of capital	25.83%	24.96% ← ADOPTED

Country risk is counted once, inside the equity risk premium, and the government bond yield is reduced by Egypt's own default spread on the matching basis before that premium is added. Both bases are published because both are defensible and they differ by about a point.

The beta is measured on Palm Hills' own weekly price history against the EGX30 index over 4.94 years: 1.0481, with a standard error of 0.1808, an R-squared of 30.0% and 256 weekly observations. A cross-check adjustment toward the market gives 1.0320. Appendix B shows the same measurement for every listed Egyptian developer.

The cost of debt is the one cost-of-capital input in this study that is not sourced, and it is flagged. The right anchor exists: the company closed an EGP 2,015 million securitisation on 4 February 2026, the first draw on a newly approved EGP 30 billion programme, in four tranches of 13, 36, 60 and 84 months rated AA+, AA, A+ and A- on the Egyptian national scale. No coupon is published for any tranche. The cost of debt is therefore built as the sovereign yield plus a 250 basis point corporate spread, which puts it above the sovereign as it must be. The accounting rate is deliberately not used: EGP 3,348 million of finance cost on average gross borrowings of about EGP 26,700 million implies 12.5 per cent, far below the sovereign, because much of the balance does not bear interest and part of the charge is capitalised into work in progress.

1.9 Sensitivity

The table below prices the crux against the discount rate. Read it down a column rather than across a row. Moving the discount rate across the whole 800 basis points of the 11 June 2026 edition's error is worth EGP 37.64 a share on the three-year-mean row — MORE than either single step between observed conversion years (EGP 13.30 and EGP 25.51), and less than the full observed range of conversion itself, which is worth EGP 38.81. The crux is the conversion rate, but only across its whole observed spread; one year to the next moves value less than the discount rate does.

Cash conversion	20.96%	22.96%	24.96%	26.96%	28.96%
3.9%	20.68	11.96	7.58	4.94	3.17
6.0%	32.99	19.87	13.32	9.40	6.79
8.7%	49.19	30.28	20.88	15.27	11.55
12.0%	68.80	42.89	30.04	22.38	17.32
17.9%	103.84	65.41	46.39	35.08	27.62

Value per share in Egyptian pounds. The closing price on 3 September 2026 was EGP 14.40.

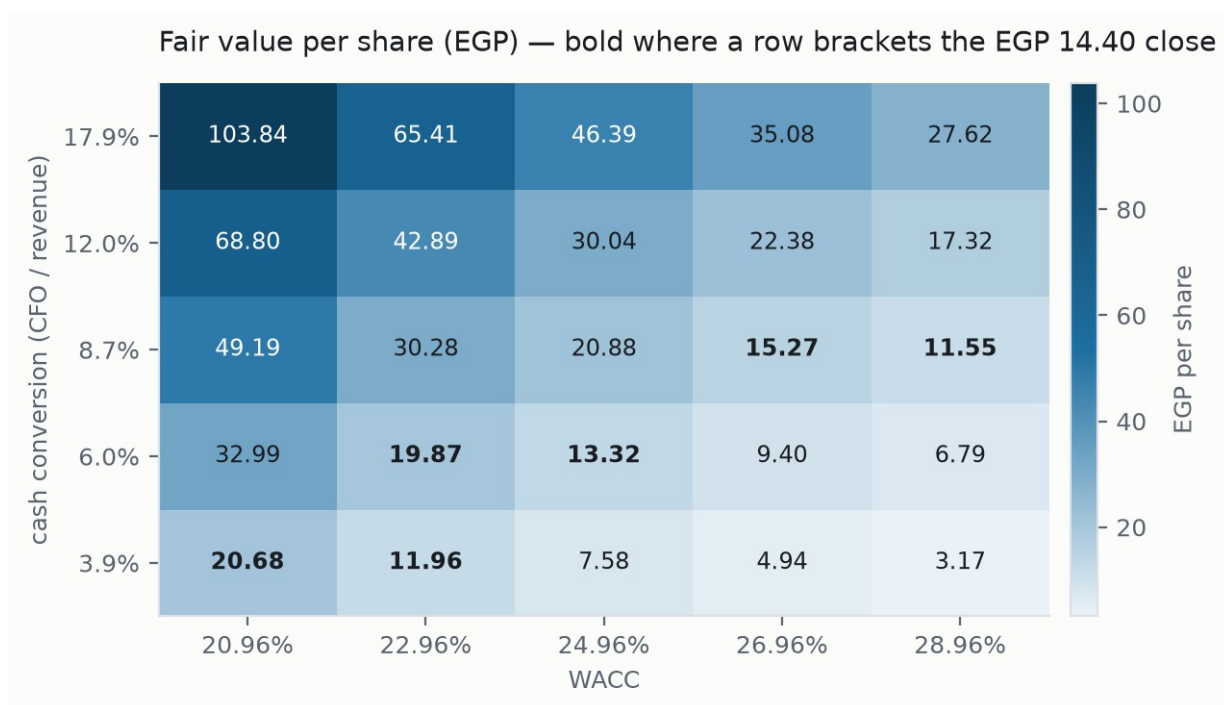


Figure 2 — the same grid. Darker cells are higher values; the two axes are the discount rate and the rate at which contracted sales turn into cash.

Solving the model back to the closing price gives a cash-conversion rate of 6.4%. That is the clearest single statement this study can make about the current price: the market is paying for conversion better than 2023 and 2025 delivered, and materially worse than 2024 did.

2 Technical and price structure

The shares closed at EGP 15.20 on 23 August 2026, above a rising 20-day average at 15.15, a rising 50-day at 15.10 and a rising 200-day at 10.95. The whole moving-average stack is beneath the price and sloping up, which is the least ambiguous configuration a trend read produces.

Resistance	EGP	Support	EGP
First	15.38	First	14.99
Second	15.73	Second	14.40
Third	16.08	Third	13.01

Levels are computed from the same cleaned price history the distribution in section 3 is built on; first resistance and first support are always the nearest to the close.

The levels sit close together — first resistance is 1.2 per cent above the close and first support 1.4 per cent below — so the near-term structure is tight and offers little information on its own. The 200-day average at 10.95 is far below the price, which is a consequence of how much the shares have risen, not a signal.

3 A probabilistic price map

This section is not a forecast and does not connect to the valuation above. It is a statement of how widely the price has historically moved over one and three months, expressed as a distribution.

Percentile	One month (EGP)	Three months (EGP)
5th	13.08	11.98
25th	14.67	14.61
50th	15.64	16.34
75th	16.68	18.27
95th	18.71	22.26

Resolving 2026-09-23 and 2026-11-23 respectively.

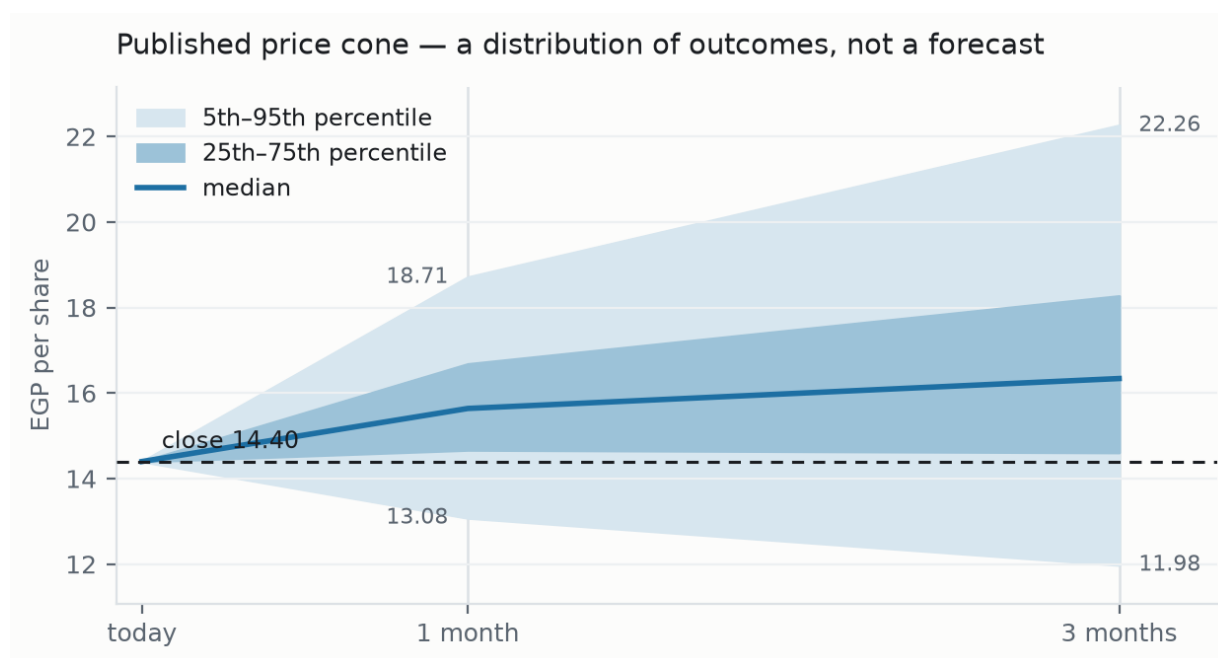


Figure 3 — the same distribution drawn as a cone. The shaded bands are the middle half and the 5th-to-95th range.

Over 57 resolved three-month forecasts on this company, the price finished inside the 90 per cent band 91.2% of the time, and inside the middle band 50.9% of the time. That is a long record by the standards of this series. The bands are about 1.47 times as wide as a simple random-walk band over the same horizon, which is what Egyptian devaluation risk costs in width.

Level (EGP)	Chance of touching within one month	Within three months
20.00	3%	19%
18.50	9%	35%
17.50	20%	51%
16.50	43%	71%
15.55	80%	90%

The chance that the price trades at or through each level at any point in the window, not the chance it ends there.

Price data to 2026-08-23, computed 2026-08-24; the trend read uses data to 2026-08-23, computed 2026-08-25.

4 Comparison of the lenses

The three readings are deliberately independent — none is an input to another — so where they agree, the agreement carries information.

Lens	What it says	Relative to the EGP 14.40 close
Fundamental value	EGP 7.58 to EGP 46.39 depending on cash conversion	the close sits inside the range, near its lower half
Price distribution	three-month middle band EGP 14.61 to 18.27	the distribution is centred slightly above the close
Trend structure	above a rising 20-, 50- and 200-day average	constructive, with resistance only 6.8 per cent away

They point the same way without being made to. The fundamental range brackets the price, the distribution is mildly positive and the trend is intact. None of that resolves the crux in section 1.7.

5 Catalysts to watch

- The half-year 2026 results. PHD's reviewed statements to 30 June 2026 are REPORTED to have been filed with the Exchange on 18 August 2026, and this study has not obtained them: the company's own result centre carried nothing newer than the first quarter when it was read on 17 September 2026, and the Exchange's own site could not be reached. Section 7 records the search. Obtaining the filing would move the bridge, the book value

and the borrowings onto a newer sheet and would settle the cash-conversion rate for a fourth period.

- The full-year 2025 results release. The audited statements were published but the accompanying release, which is where units sold, new sales, deliveries and construction spending are disclosed, was not.
- Any disclosure of collection terms — down payment, instalment tenor, post-handover tail. This is the single disclosure that would most narrow the range in this study.
- Progress on the EGP 30 billion securitisation programme. Selling receivables converts the instalment book to cash and is the direct lever on the crux; pricing on any tranche would also fix the cost of debt.
- The Village de La Capitale launch, which contributed EGP 24 billion of the EGP 52 billion of first-quarter 2026 sales. Whether that rate of launch sales repeats materially changes the order book path.
- Egyptian interest rates. The cost of capital here is built on a 23.00% sovereign yield; a sustained fall would raise every figure in section 1.9.

6 Reading the probability zones

The bands in section 3 describe where the price has tended to go, not where it should go. They are wide because Egyptian equities are genuinely volatile: the middle half of the three-month distribution spans EGP 14.61 to EGP 18.27, a range of about 25 per cent of the current price. A reader who wants a narrower band is asking for a less honest one.

The touch ladder answers a different question from the percentile map. A level with a 51 per cent chance of being touched inside three months is not a level with a 51 per cent chance of holding — prices pass through levels far more often than they settle at them.

7 Caveats and what would change our mind

Six things are not disclosed by the company and are therefore not in this study. Each is named with what would close it.

What is missing	Why it matters	What would close it
Cost to complete the order book	Remaining construction cost against the EGP 263bn backlog is not disclosed as a single figure. It is inferred in the model from the realised gross margin and flagged where used.	Not stated.

What is missing	Why it matters	What would close it
FY2025 cash-flow statement, line by line	PHD's earnings releases publish the cash-flow statement in three totals only — re-verified 17-09-2026 on the 1Q2026 and 4Q2024 releases — and FY2025 has no release at all, so the three FY2025 totals this study holds (operating EGP 1,424.2mn, investing EGP - 4,031.7mn, financing EGP 5,628.8mn) come from the audited statements. THE AUDITED STATEMENTS ARE A SCAN WITH NO TEXT LAYER and this study extracted the balance sheet and income statement from it, never a cash-flow page; an external audit reports that a full indirect-method statement of roughly 45 lines is printed there, including two operating movements that would cover EGP 14,112.5mn of the wedge below. That is a lead this study has not verified, so the wedge is not split — because the line detail has not been READ, not because it is unpublished. Working capital on the two audited balance sheets rose EGP 20,084.7mn in 2025 while net profit plus depreciation less operating cash implies a rise of EGP 3,146.2mn — a wedge of EGP 16,938.5mn, 46.8% of revenue, which CANNOT be decomposed from what is disclosed and is therefore not decomposed. It is why the projection is published in two framings rather than one.	The full fy2025 cash-flow statement.
Full-year 2025 operating figures	PHD has published FY2025 consolidated statements but NO FY2025 full-year results release. The release is where units sold, new sales, deliveries and construction spend are disclosed, so FY2025 has audited financials and NO operating drivers.	The fy2025 release, or the company confirming the figures directly.
Half-year 2026	PHD's reviewed consolidated statements to 30 June 2026 are REPORTED to have been filed with the Egyptian Exchange on 18 August 2026, and an external audit of this study quotes figures from that attachment. This study has NOT obtained the filing. Searched 17-09-2026: the company's own result centre was fetched live and its newest documents of any kind are the 1Q2026 statements and the 1Q2026 release — of 86 PDFs on the page, none is a 2Q or H1-2026 document; egx.com.eg returned an empty reply and Mubasher HTTP 403. A report of a disclosure is a lead and never a source, so nothing from it is used and the information set ends at 1Q2026.	The h1-2026 filing itself.
Project unit economics	The company does not disclose per-project unit mix, average unit area, price per square metre or construction cost per square metre. The 11-Jun-2026 edition carried a full per-project table of those figures; they are NOT sourced to any company document. This study does not reuse them.	An investor presentation or project-level disclosure carrying unit economics.
Cost of debt	The EGP 2.015bn securitisation of 4-Feb-2026 discloses tranche sizes, tenors and national-scale ratings but NO coupon on any tranche, so the company's own marginal cost of debt cannot be read.	The offering circular or a disclosed coupon.

What would change our mind, in order of force:

- Two more years of cash conversion clustering. Three observations spanning 3.9% to 17.9% cannot distinguish a volatile business from a mismeasured one; five could.

- Disclosure of collection terms, which would replace the measured range with a built schedule and narrow the answer directly.
- A sustained fall in Egyptian interest rates, which lifts every cell in the sensitivity table.
- Evidence that the order book converts at the rate the company's delivery history implies rather than more slowly. The order book is now more than seven times revenue, against 5.4 times in 2024 and 3.4 times in 2023; that ratio has risen every year and cannot rise indefinitely.

A note on this study's own track record. Tested across ten annual starting points on this company's history from 2011 to 2025, this method forecast revenue tolerably but overstated net profit by about three times, consistently and in 97 per cent of tested cases, and did worse than simply assuming no change. The cause was the mismatched recognition clock corrected in section 1.1. That is why this edition publishes ranges rather than a central figure, and why the reader should treat the upper end of section 1.9 with more suspicion than the lower.

Appendix A Financial statements

A.1 Income statement

EGP million, as reported	2023	2024	2025
Revenue	17,462.1	27,167.3	36,169.3
Cost of revenue	-11,907.2	-17,739.9	-21,118.9
Cash discount	-47.2	-97.3	-162.8
Gross profit	5,507.6	9,330.1	14,887.6
Overheads	-2,060.5	-3,435.8	-6,365.6
Depreciation and amortisation	-178.6	-239.9	-353.7
Finance cost		-2,311.4	-3,347.5
Other income and items the record does not hold separately (residual)	-967.8	977.6	1,430.3
Profit before tax	2,300.7	4,320.6	6,251.1
Tax	-567.3	-917.1	-1,827.2
Profit after tax	1,733.4	3,403.5	4,423.8
Minority interest	-151.9	-148.5	-207.2
Profit attributable to shareholders	1,581.5	3,254.9	4,216.7

Three years, each as that year's own audited statements reported it. Revenue less cost of revenue less the cash discount foots to reported gross profit in all three years, and profit before tax less tax less minority interest foots to the attributable figure. The residual line is what the printed rows leave over against reported profit before tax: this study holds no source filings of its own, so the items inside it are not separated here and are not guessed at. It is negative in 2023 because no finance cost for that year is in the record at all, and positive in 2024 and 2025 because an income line the company reports is not held separately.

One presentational difference is worth naming rather than smoothing. Cost of revenue for 2024 is EGP 17,739.9 million as the company reported it that year and EGP 17,837.2 million in the comparative column of the 2025 statements — a difference of EGP 97.3 million, exactly that year's cash discount, which the later presentation folds into cost. The forecast is built on the later basis throughout; the table above shows each year as first reported. Both figures are right on their own basis.

Forecast, EGP million	2026	2027	2028	2029	2030	2035	2040
Units delivered	2,042	2,348	2,665	2,985	3,298	4,409	4,475
Revenue per delivered unit	19.73	22.10	24.08	25.89	27.70	38.85	54.49
Revenue	40,279	51,879	64,182	77,276	91,367	171,318	243,886
Cost per delivered unit	12.74	14.27	15.55	16.72	17.89	25.09	35.20
Cost of revenue	-26,014	-33,506	-41,452	-49,908	-59,009	-110,645	-157,513
Gross profit	14,265	18,373	22,730	27,368	32,358	60,673	86,373

Forecast, EGP million	2026	2027	2028	2029	2030	2035	2040
Gross margin	35.4%	35.4%	35.4%	35.4%	35.4%	35.4%	35.4%
Overheads	-7,089	-9,130	-11,296	-13,600	-16,080	-30,151	-42,923
Depreciation and amortisation	-394	-507	-628	-756	-893	-1,675	-2,385
Operating profit	6,782	8,735	10,807	13,012	15,384	28,847	41,066
Finance cost	-3,348	-3,348	-3,348	-3,348	-3,348	-3,348	-3,348
Profit before tax	3,435	5,388	7,460	9,664	12,037	25,499	37,718
Tax	-773	-1,212	-1,678	-2,174	-2,708	-5,737	-8,487
Net profit	2,662	4,176	5,781	7,490	9,329	19,762	29,232
Earnings per share (EGP)	0.93	1.46	2.02	2.62	3.26	6.91	10.22

FIFTEEN forecast years, 2026 to 2040, shown at the first five and then every fifth. This caption said five, and so did the workbook's own bridge row and the expert appendix, against a model that runs fifteen — which is not a wording slip: on a five-year window the terminal carries about 68 per cent of the answer instead of 36, so the label tells a reader the wrong thing about where the value comes from. Gross margin is a HELD input and cost per unit is solved from it, for the disclosure reason given in section 1.1. Years three to five should be read against the range in section 1.9, not as points.

A.2 Balance sheet

EGP million, as reported	31 Mar 2026 (reviewed)	2025	2024
Non-current assets	63,115.1	65,900.2	54,166.4
of which notes receivable, long term	53,187.9	56,319.8	46,309.1
Current assets	114,863.9	106,229.6	69,270.9
of which work in progress	21,337.8	17,570.9	13,209.8
of which trade receivables	30,481.0	28,118.1	15,561.1
of which notes receivable, short term	17,788.2	19,073.0	15,148.4
of which cash	9,125.1	9,419.5	6,372.4
Total assets	177,979.0	172,129.8	123,437.3
Current liabilities	108,093.2	105,099.0	74,496.9
of which advances from customers	72,867.8	69,354.1	47,403.8
of which suppliers	5,340.1	3,807.0	3,426.7
Non-current liabilities	49,497.4	48,265.1	34,315.7
Total liabilities	157,590.6	153,364.1	108,812.6
Shareholders' funds	20,388.4	18,765.8	14,624.7
of which attributable to the parent	18,955.7	17,431.4	n/a

EGP million, as reported	31 Mar 2026 (reviewed)	2025	2024
of which minority interests	1,432.7	1,334.3	n/a
Total equity and liabilities	177,979.0	172,129.8	123,437.3

As reported. Total assets equal total liabilities plus shareholders' funds on all three dates, and each subtotal reconciles to its components. The March 2026 column is the reviewed interim statement and is the sheet the bridge, the book value and the borrowings stand on; the split of shareholders' funds is not carried in the 2024 comparative column the study holds.

A.3 Forecast balance sheet and cash flow

Because the balance sheet and the cash-flow statement disagree about 2025 by EGP 16,938 million, and that difference cannot be split from what has been disclosed, the forecast is published two ways. Neither is averaged into the other. Both rest on the same income statement above; they differ only in what they hold fixed about cash.

- The first holds the collection cycle. Every working-capital line stays at the ratio to revenue it stood at in 2025, the balance sheet is built from those ratios, and operating cash is what is left. It asks what the growth costs to fund if nothing about collection changes.
- The second holds cash conversion. Operating cash is set at the company's own disclosed rate — 4.3, 17.9 and 3.9 per cent of revenue in the three published years, 8.7 per cent on average — and working capital is what is left. It asks what the collection cycle must do for the cash to keep converting as it has.

The valuation stands on the second, because that is the reading the company's own cash-flow statements support. The first is printed beside it because the two do not agree, and a single set of figures would hide that they don't.

If cash conversion holds — the basis of the valuation

Forecast balance sheet, EGP million	2026	2027	2028	2029	2030	2035	2040
Trade and notes receivable	102,757	103,027	104,382	106,893	110,648	150,433	223,319
Work in progress	17,443	17,489	17,719	18,145	18,782	25,536	37,908
Other receivables and prepayments	12,828	12,862	13,031	13,344	13,813	18,780	27,879
Advances to suppliers	8,990	9,014	9,132	9,352	9,681	13,161	19,538
Cash and equivalents	12,526	16,528	21,479	27,440	34,488	88,091	170,626
Property and equipment	4,531	4,542	4,557	4,574	4,594	4,747	4,984
Other assets, held at the 2025 level	15,128	15,128	15,128	15,128	15,128	15,128	15,128
Total assets	174,204	178,590	185,428	194,877	207,134	315,877	499,383
Customer advances	68,849	69,030	69,938	71,620	74,136	100,793	149,628
Suppliers	3,779	3,789	3,839	3,931	4,069	5,533	8,213
Other creditors	5,084	5,098	5,165	5,289	5,475	7,443	11,050

Forecast balance sheet, EGP million	2026	2027	2028	2029	2030	2035	2040
Cheques under collection	2,436	2,442	2,474	2,534	2,623	3,566	5,294
Borrowings	33,553	33,553	33,553	33,553	33,553	33,553	33,553
Other liabilities, held at the 2025 level	39,075	39,075	39,075	39,075	39,075	39,075	39,075
Total liabilities	152,776	152,986	154,044	156,002	158,931	189,963	246,812
Shareholders' funds	21,428	25,603	31,385	38,874	48,203	125,915	252,570
Total liabilities and equity	174,204	178,590	185,428	194,877	207,134	315,877	499,383

Assets equal liabilities plus shareholders' funds in every year, to the same tenth of a million the audited 2025 sheet itself foots to.

Forecast cash flow, EGP million	2026	2027	2028	2029	2030	2035	2040
Net profit	2,662	4,176	5,781	7,490	9,329	19,762	29,232
Depreciation and amortisation	394	507	628	756	893	1,675	2,385
Change in working capital, cash effect	454	-162	-816	-1,512	-2,261	-6,509	-10,365
Cash from operations	3,510	4,521	5,593	6,734	7,961	14,928	21,251
as a share of revenue	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Capital expenditure	-403	-519	-642	-773	-914	-1,713	-2,439
New borrowing drawn	0	0	0	0	0	0	0
Closing cash	12,526	16,528	21,479	27,440	34,488	88,091	170,626

The cycle this implies	2026	2027	2028	2029	2030	2035	2040
Collection period, days	931	725	594	505	442	321	334
Work in progress, days of cost	245	191	156	133	116	84	88
Suppliers, days of cost	53	41	34	29	25	18	19
Customer advances, share of the order book	19.5%	15.5%	13.0%	11.3%	10.2%	8.8%	9.1%
Net working capital	61,870	62,032	62,848	64,360	66,621	90,575	134,460
as a multiple of revenue	1.54	1.20	0.98	0.83	0.73	0.53	0.55

The collection period falls from 931 days to 334 over five years. That is what this reading requires, and it is a large improvement to take on trust — which is exactly why the other reading is printed too.

Free cash flow to the firm, EGP million	2026	2027	2028	2029	2030	2035	2040
Cash from operations	3,510	4,521	5,593	6,734	7,961	14,928	21,251

Free cash flow to the firm, EGP million	2026	2027	2028	2029	2030	2035	2040
plus finance cost, after tax	2,594	2,594	2,594	2,594	2,594	2,594	2,594
less capital expenditure	-403	-519	-642	-773	-914	-1,713	-2,439
Free cash flow to the firm	5,701	6,596	7,545	8,555	9,642	15,809	21,407
Present value, on the schedule	4,562	4,348	4,196	4,087	4,006	3,269	2,204

These are the figures discounted in section 1.1, shown again here beside the statements they come out of.

If the collection cycle holds

Forecast balance sheet, EGP million	2026	2027	2028	2029	2030	2035	2040
Trade and notes receivable	115,272	148,470	183,680	221,151	261,478	490,284	697,964
Work in progress	19,567	25,203	31,180	37,540	44,386	83,225	118,479
Other receivables and prepayments	14,390	18,535	22,930	27,608	32,642	61,206	87,132
Advances to suppliers	10,085	12,990	16,070	19,349	22,877	42,895	61,065
Cash and equivalents	4,991	2,355	2,355	2,355	2,355	2,355	7,488
Property and equipment	4,531	4,542	4,557	4,574	4,594	4,747	4,984
Other assets, held at the 2025 level	15,128	15,128	15,128	15,128	15,128	15,128	15,128
Total assets	183,965	227,223	275,900	327,704	383,459	699,841	992,240
Customer advances	77,234	99,478	123,069	148,175	175,195	328,499	467,648
Suppliers	4,240	5,461	6,756	8,134	9,617	18,032	25,670
Other creditors	5,704	7,346	9,088	10,943	12,938	24,259	34,535
Cheques under collection	2,732	3,519	4,354	5,242	6,198	11,622	16,545
Borrowings	33,553	46,741	62,173	77,262	92,234	152,439	156,197
Other liabilities, held at the 2025 level	39,075	39,075	39,075	39,075	39,075	39,075	39,075
Total liabilities	162,537	201,620	244,515	288,830	335,256	573,926	739,670
Shareholders' funds	21,428	25,603	31,385	38,874	48,203	125,915	252,570
Total liabilities and equity	183,965	227,223	275,900	327,704	383,459	699,841	992,240

Assets equal liabilities plus shareholders' funds in every year, to the same tenth of a million the audited 2025 sheet itself foots to.

Forecast cash flow, EGP million	2026	2027	2028	2029	2030	2035	2040
Net profit	2,662	4,176	5,781	7,490	9,329	19,762	29,232

Forecast cash flow, EGP million	2026	2027	2028	2029	2030	2035	2040
Depreciation and amortisation	394	507	628	756	893	1,675	2,385
Change in working capital, cash effect	-7,081	-19,989	-21,200	-22,561	-24,281	-27,348	-27,492
Cash from operations	-4,026	-15,306	-14,791	-14,316	-14,059	-5,910	4,124
as a share of revenue	-10.0%	-29.5%	-23.0%	-18.5%	-15.4%	-3.4%	1.7%
Capital expenditure	-403	-519	-642	-773	-914	-1,713	-2,439
New borrowing drawn	0	13,188	15,433	15,088	14,972	7,624	0
Closing cash	4,991	2,355	2,355	2,355	2,355	2,355	7,488

The cycle this implies	2026	2027	2028	2029	2030	2035	2040
Collection period, days	1045	1045	1045	1045	1045	1045	1045
Work in progress, days of cost	275	275	275	275	275	275	275
Suppliers, days of cost	59	59	59	59	59	59	59
Customer advances, share of the order book	21.9%	22.3%	22.8%	23.4%	24.2%	28.6%	28.3%
Net working capital	69,405	89,393	110,593	133,154	157,435	295,198	420,241
as a multiple of revenue	1.72	1.72	1.72	1.72	1.72	1.72	1.72

Every ratio is held where 2025 left it, by construction. The customer-advance share rises only because the order book grows more slowly than revenue on this path.

This reading does not produce a value per share, and the reason is worth stating plainly rather than burying. Free cash flow is negative in every one of the five years and reaches minus EGP 4,280 million in 2030. A terminal value taken on a negative flow returns a large negative number that looks like a valuation and is not one: it asserts the company burns cash for ever at a compounding rate, which is not a forecast anybody made. So none is taken. What this reading measures instead is the funding the growth would need.

If the cycle holds, what the growth costs	EGP mn
Present value of the fifteen forecast years	-40,529
New borrowing required by 2030	122,644
Its annual interest by 2030, at 25.50 per cent	31,274
That interest as a share of 2030 operating profit	76%

The interest on that borrowing is not in the profit forecast above, and by 2030 it would exceed operating profit outright. The collection cycle and this growth path cannot both hold — which is the finding, not a defect in the arithmetic.

Appendix B Peer frame, risk register and research register

B.1 The Egyptian listed developers

Cod e	Company	Beta	R-squared	Std error	Volatility	Worst fall
TMG H	Talaat Moustafa Group Holding	1.4687	32.5%	0.183	43.9%	-44.2%
PHD C	Palm Hills Developments	1.0481	30.0%	0.181	43.9%	-48.7%
ORH D	Orascom Development Egypt	0.8817	32.5%	0.173	46.2%	-42.9%
HELI	Heliopolis Housing and Development	0.7648	28.7%	0.180	44.4%	-39.6%
EMF D	Emaar Misr for Development	0.7349	24.2%	0.169	41.2%	-47.1%
PRD C	Pioneers Properties for Urban...	0.7006	25.6%	0.185	42.2%	-52.0%
OCD I	Sixth of October Development...	0.4949	10.2%	0.227	47.6%	-46.6%

Every measure computed on the same five-year window, through the same cleaning, against the same index. Volatility is annualised from weekly returns; worst fall is the deepest peak-to-trough decline over five years.

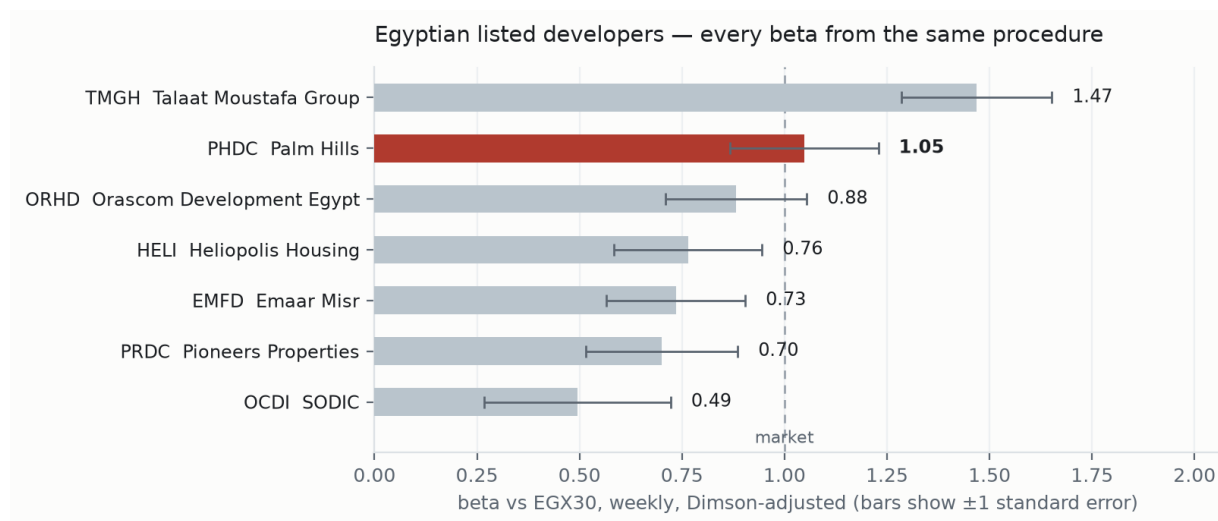


Figure 4 — the same betas with their standard errors. Palm Hills sits mid-sector: more market-sensitive than most of its peers, materially less so than the largest.

Earnings and book multiples for the peer group are not published in this study. No peer discloses financial statements this study can obtain on a consistent basis, and a multiple built from inconsistent inputs would carry more authority than it deserves. What is measured here is measured the same way for every name.

B.2 Risk register

Risk	How it would show up	Where it is priced
Cash conversion stays at the 2023 and 2025 rate	operating cash near 3.9% of revenue	bottom row of the table in section 1.9
Egyptian rates stay high or rise	cost of capital above 24.96%	right-hand columns of the same table
Order book converts more slowly than delivery history implies	the order book keeps rising as a multiple of revenue	section 7, fourth bullet
Currency devaluation	nominal figures rise, real value does not	the whole study is in nominal pounds; a devaluation moves the denominator too
Cost of debt above the assumed spread	finance cost above the modelled level	section 1.8; the spread is the one unsourced input

B.3 Research register

This study is built on 138 sourced inputs. Every reported historical comes from the company's own audited statements or its own results releases. The only third-party inputs are the exogenous macroeconomic series and the market price. A full register, with the value, source, date and provenance of each input, is published in the accompanying bibliography.

Appendix C Expert panel

Three readings of the same company by three different methods. The experts are identified by method, not by name.

C.1 Expert 1 — the discounted cash-flow analyst

Worldview: a company is worth the cash it will hand its owners, discounted at what that cash costs. When it works: businesses with stable conversion of profit to cash. When it fails: businesses where that conversion is the unknown — which is exactly this one.

Working	EGP mn
Present value of five explicit years	52,310
Present value beyond year five	29,567
Enterprise value	81,877
less net debt, 31 March 2026	(23,245)
plus associates and investment property, 31 March 2026	4,859
Equity before minority interests	63,491
less minority interests at their share of value	(3,769)
Equity attributable to shareholders	59,722
Per share (EGP)	20.88

Named sensitivity: a move in cash conversion from 3.9% to 17.9% takes the answer from EGP 7.58 to EGP 46.39. Falsifier stated in advance: if the 2026 and 2027 cash-flow statements show conversion inside two percentage points of 8.7%, this reading is right and the range should collapse toward its centre; if they straddle the full observed spread again, the method should be abandoned for this company.

C.2 Expert 2 — the asset-based analyst

Worldview: a developer is a pile of land, work in progress and receivables, less what it owes. Earnings are an accident of timing. When it works: asset-heavy businesses in distress or in wind-down. When it fails: going concerns whose value is in execution.

Working, on the reviewed balance sheet of 31 March 2026	EGP mn
Work in progress	21,338
Receivables, trade and instalment	101,457
Cash	9,125
Investments and investment property	4,859
less advances from customers	(72,868)
less gross borrowings	(32,369.8)
less other liabilities, balancing	(52,352.9)
Shareholders' funds as reported	20,388

Working, on the reviewed balance sheet of 31 March 2026	EGP mn
of which attributable to the parent	18,956
Per share, parent (EGP)	6.63

Named sensitivity: the instalment receivable book is carried at face value less unwinding discount. A 10 per cent write-down of that book would remove roughly EGP 9,923 million, about EGP 3.47 a share. Falsifier: evidence of material cancellations or receivable impairment would confirm this reading and invalidate the cash-flow one.

C.3 Expert 3 — the market-implied analyst

Worldview: do not value the company; ask what the price already assumes, then judge whether that assumption is reasonable. When it works: where a single variable dominates. When it fails: where the market is wrong about many things at once.

Working: holding the cost of capital at 24.96% and every other input at the audited 2025 base, the closing price of EGP 14.40 implies cash conversion of 6.4%. The company achieved 4.3% in 2023, 17.9% in 2024 and 3.9% in 2025. Named sensitivity: at a 25.83% cost of capital the implied rate would be lower still. Falsifier: if 2026 conversion prints above 6.4%, the price was too low.

C.4 Cross-examination

- Expert 2 to Expert 1: your terminal value is 36% of your answer, so you are mostly valuing years you cannot see. CONCEDED — it is why no single figure is published.
- Expert 1 to Expert 2: book value ignores that the company sells at roughly 41.2% gross margin, so its inventory is worth more than cost. CONCEDED — book is a floor, not a value.
- Expert 3 to both: you disagree by a factor of four and the market sits between you, so neither of you is adding information. REJECTED — the range is the information; a false point estimate would not be.
- Expert 2 to Expert 3: the price also reflects Egyptian equity risk appetite, not just this company's conversion rate. CONCEDED — the implied figure is a single-variable solve and is labelled as one.

C.5 The three in one room

They agree on the facts and disagree on one number. All three accept the audited 2025 base, the 24.96% cost of capital and the order book. Expert 1 needs a conversion rate to produce an answer; Expert 2 refuses to forecast one and prices the assets instead; Expert 3 asks what rate is already in the price. The room's joint position is that Palm Hills is worth between EGP 7.58 and EGP 46.39, that the price of EGP 14.40 sits in the lower half of that range, and that the width is a property of the disclosure rather than of the analysis.

C.6 Reading the divergence

Assumption	Expert 1	Expert 2	Expert 3	Drives the gap?
Cash conversion	3.9% to 17.9%	not forecast	6.4% implied	YES — this is the whole gap
Cost of capital	24.96%	not used	24.96%	no — shared
Receivable book	collected on schedule	at carrying value	as the market judges	partly
Terminal value	36% of the answer	none	none	yes for Expert 1 alone

One assumption explains almost all of the divergence, which is the clearest evidence that section 1.7 has identified the right crux.

About this series

These studies value a company from its own disclosures, publish the reasoning alongside the answer, and record what the method has historically got right and wrong on that company. They carry no rating and no price target. Where a company does not disclose something the valuation needs, the study says so and prices the consequence rather than filling the gap.

Disclosure and disclaimer

This document is for information and education. It is not investment advice, not a recommendation, and not an offer or solicitation to buy or sell any security. It contains no rating and no price target. Figures are drawn from the company's published financial statements and results releases and from the named third-party sources; they may contain errors and are not warranted. Valuations are estimates that depend on assumptions stated in the text, and small changes in those assumptions produce large changes in the result, as section 1.9 shows directly. Past price behaviour does not predict future returns. Readers must reach their own conclusions and should take professional advice before acting. Edition of 17 September 2026; information set ends at the company's first-quarter 2026 results.